

Crypto Custody and Compliance Guide

Practical insights for secure digital asset custody and regulatory compliance in **Southeast Asia (SEA).**



Secure Custody

Institutional-grade asset protection



Regulatory Compliance

Stay aligned with evolving regulations



Cross-Border Readiness

Navigate regional standards with confidence



Risk Management & Governance

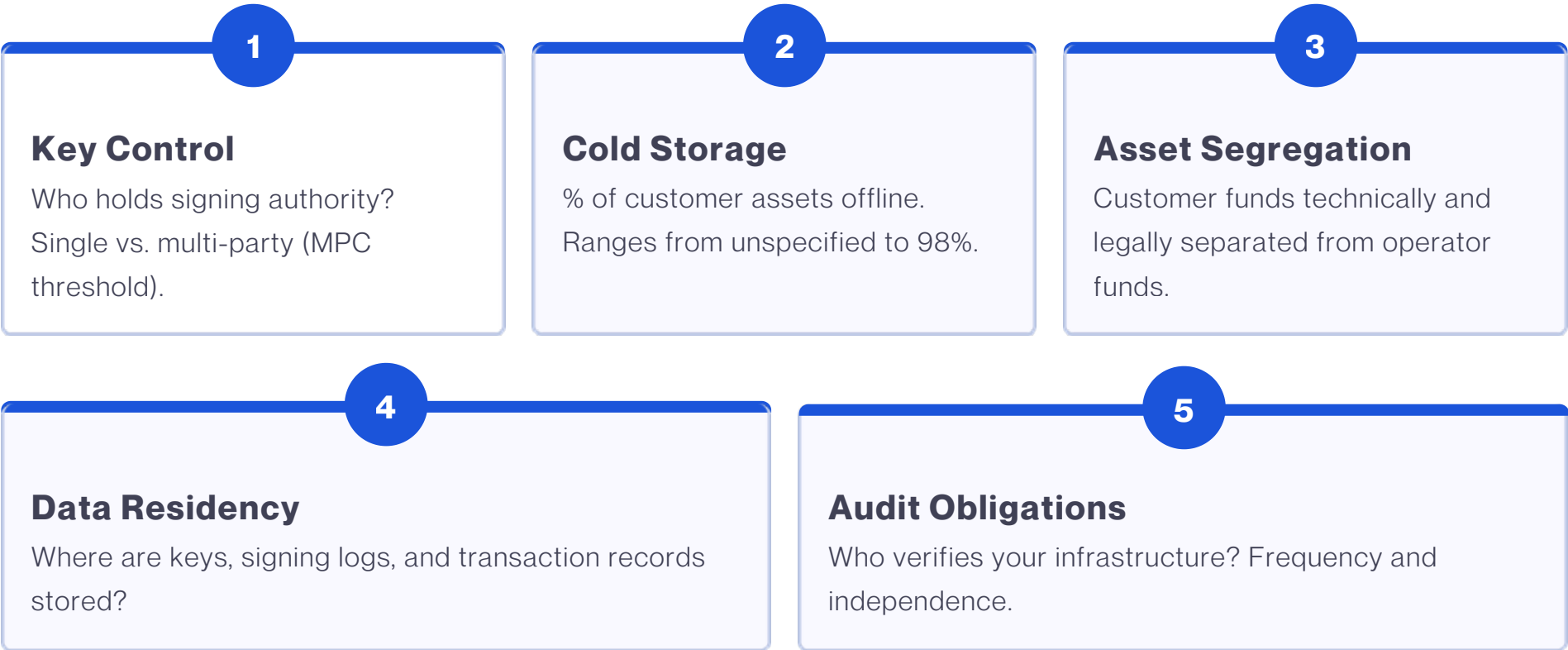
Build robust controls and operational resilience



Secure Today. Compliant Tomorrow. Trusted Everywhere.

About This Guide

Every regulator in this guide evaluates custody infrastructure across the same five dimensions. But the thresholds, enforcement mechanisms, and acceptable architectures vary significantly by jurisdiction.



Regional Framework: Five Markets. Five Compliance Realities.

A comprehensive side-by-side comparison of cryptocurrency custody regulations, infrastructure expectations, and licensing barriers across major Southeast Asian markets.

MARKET	FRAMEWORK	COLD STORAGE	KEY REQUIREMENTS	MARKET STATUS
Singapore	MAS PS-G03 (Sep 2024)	90% mandatory	Daily reconciliation, trust accounts, local books	Strict. Longest-running DPT regime
Indonesia	OJK Reg. 27/2024 + 23/2025	ISO cert required	Separate DFA Custodian license	Emerging. Infrastructure gap
Philippines	BSP Circular 1108 + 1213	Not specified	Indefinite moratorium on new VASP applications	Paused. No new entry path
Vietnam	DTI Law 2025. CASP Pilot (Jan 2026)	Not specified	~\$400M min capital, 65% institutional, data residency	Pilot. High structural barrier
Thailand	SEC Digital Asset Business Decree	Not specified	SEC license required, B2B/B2C pilot stage	Balanced. Tourism & merchant adoption

Note on Market Access: "Not specified" does not mean "easier." OJK and BSP replace cold storage ratios with certification and audit requirements that can be operationally more demanding. The Philippines indefinite moratorium means new entrants still have no path to a VASP license as of June 2026.

90-98%	~99% *	35%
COLD STORAGE RANGE	USDT+USDC SHARE IN SEA	APAC STABLECOIN FREELANCE PAY

* Source: Industry estimates & reports 2025-2026

Looking for a compliance-ready custody infrastructure built for these specific markets?

Read our deep dives: [Choosing the Right MPC Wallet Platform for APAC Startups](#) vs. [European Institutions](#) or explore the [Institutional Digital Asset Custody Powered by MPC Wallets: A Secure and Compliant Transaction Workflow](#).

Compliance Cost:

The Price of Non-Compliance

Legal compliance and secure asset custody are not just regulatory check-marks: they are existential requirements that protect businesses from devastating financial penalties and permanent operational shutdown.

\$322B+

GLOBAL STABLECOIN CAP

84%

USDT & USDC SHARE

Infra Risk

BEYOND VOLATILITY

ENTITY / YEAR	PENALTY	REGULATOR	PRIMARY VIOLATIONS
Binance (2023)	\$4.3 Billion	DOJ, FinCEN, OFAC, CFTC	Systemic AML/sanctions violations (over 100,000 transaction alerts ignored).
Coinbase (2023)	\$100 Million	NYDFS (New York)	AML/KYC backlog and immature transaction monitoring controls.
Robinhood (2022)	\$30 Million	NYDFS (New York)	Inadequate compliance staffing and manual transaction monitoring failures.
Kraken (2022)	\$362,158	OFAC (US Treasury)	Iran sanctions violations: lacked post-onboarding IP geolocation controls.

The Kraken Lesson: How to Avoid Crippling Penalties?

Despite processing \$1.7M in prohibited transactions, Kraken secured a minor \$362,158 settlement. This was due to voluntary self-reporting prior to investigation, full cooperation with regulators, and committing \$100K to implement real-time IP geolocation blocking. Active self-reporting is the ultimate shield against crippling corporate penalties.



Singapore: MAS PS-G03

MAS has established itself as a leading regulator in the APAC region, particularly concerning digital payment token (DPT) services. Its progressive yet stringent approach provides a benchmark for operators seeking to establish robust compliance frameworks.

The Clearest Technical Standard in APAC

MAS published PS-G03 in September 2024, setting the most explicit custody requirements in the region.

Key Requirements:

- 90% of customer digital assets in cold wallets at all times
- Multi-party computation recommended (no single party should authorize movement unilaterally).
Daily reconciliation mandatory
- Trust accounts with separate blockchain addresses from operator
- Custody and trading operationally independent
- Annual independent audit required
- Permanent place of business in Singapore with books and records maintained locally

Why MAS Sets the Standard:

MAS has the longest-running DPT licensing regime in APAC. PS-G03 is the most mature framework, and operators who build to MAS standards can adapt to other SEA markets more easily.

01

Singapore Custody Checklist: Implement 90% cold storage by design

02

Deploy multi-party threshold signing (2-of-3 or 3-of-5 MPC)

03

Set up daily reconciliation processes

04

Establish trust account structure with separate blockchain addresses

05

Maintain Singapore office with local compliance team

06

Engage independent auditor pre-licensing

Singapore: AML & Travel Rule Mandates

In addition to the technical custody guidelines of MAS PS-G03, digital payment token (DPT) service providers must adhere to rigorous AML/CFT and information transfer protocols.

Notice

MAS PSD-N02

TRUST

VERIFY VASP NETWORKS

Sep 2024

IMPLEMENTATION DATE

AML/CFT Framework & Travel Rule Integration

- **Mandatory Travel Rule:** Every digital asset transfer between VASP entities (or from VASP to unhosted wallets) must be accompanied by verified sender and recipient KYC details in real time.
- **Network Integration:** Operators must integrate secure messaging networks such as TRUST or VerifyVASP to transmit required transaction metadata seamlessly.
- **Sanctions Screening:** Implement automated, real-time sanctions screening protocols before transaction signatures are finalized on-chain.
- **Local Compliance Presence:** Appoint a resident compliance officer in Singapore to manage daily transaction monitoring and annual audits.

Deploy multi-party threshold signing (2-of-3 or 3-of-5 MPC)

→ Instantly deploy your security node cluster using [Fystack's Open-Source Mpcium Library on GitHub](#)



Indonesia: OJK Requirements (Reg. 23/2025)

OJK has established itself as a key regulator in Indonesia, with a strong focus on digital financial services and payment systems. Its comprehensive and progressive regulatory framework provides clear guidelines for operators to build robust compliance, risk management, and consumer protection practices in the Indonesian market.

OJK Reg. 27/2024 transferred crypto oversight from Bappebtion January 10, 2025. OJKReg. 23/2025 then amended the framework, tightening custody, security, and segregation requirements.

The Problem

OJK requires a separately licensed DFA Custodian entity. Operators cannot self-custody, so exchanges must rely on external custody infrastructure.

The Reality

Only a very limited number of DFA Custodian licenses had been issued as of June 2026 (e.g. PT Kustodian Koin Indonesia and PT Tennet Depository Indonesia).

Operator Impact

The custody infrastructure OJK mandates remains extremely scarce, creating a persistent launch and scaling bottleneck.

OJK Requirements (Reg. 23/2025)

- ISO certification required across operators and core systems
- Segregated accounts must be held by a Clearing institution for consumer benefit
- DFA Custodian license required; the exchange itself cannot act as custodian
- Certified IS security personnel required
- Disaster Recovery Center and critical systems must be ISO certified
- PSE registration + local data obligations apply

What Changed Under OJK vs Bappebti

- Oversight moved from a commodity regulator to financial services supervision
- ISO certification now applies to all operators, not just specific infrastructure
- Custody is separated from exchange operations through a licensed custodian model
- Segregated accounts now sit with the Clearing institution to improve consumer protection

Why Operators Cannot Self-Custody

- The framework separates exchange activity, custody, and clearing
- Self-custody would collapse those control functions into one entity
- OJK's model is designed to reduce commingling risk and strengthen auditability

Operator Takeaway: Before entering Indonesia, confirm which DFA Custodian you will use. Build the custodian relationship before go-live, not after. In this market, compliance readiness is still heavily constrained by infrastructure availability (as of June 2026).

Indonesia: Deep Dive – DFA Custodian Model

OJK's framework separates exchange, custody, and clearing into distinct license identities. This creates a critical and persistent infrastructure gap.

The Problem:

Only a very limited number of DFA Custodian licenses had been issued as of June 2026. Operators cannot self-custody. The infrastructure OJK mandates is still extremely scarce in-market.

Why This Matters:

- Exchanges cannot hold customer assets directly
- Custody is a separately regulated function
- Clearing institution acts as the legal holder
- This structure improves protection but adds complexity

OJK Reg. 23/2025 Changes:

- Segregated accounts must be held by Clearing institution for consumer benefit
- Exchange is no longer the account holder of record
- Contractual structure between Trader and Clearing institution must reflect this shift
- Financial records must be retained for 10 years
- ISO certification required across all operators

Operator Impact:

- Must identify and secure a DFA Custodian partner before launch
- Cannot proceed without a licensed custodian relationship
- Clearing institution relationship is non-negotiable
- Compliance readiness is still heavily constrained by infrastructure availability

Indonesia: AML & PPATK Reporting

The strict regulatory oversight by OJK and PPATK requires DFA Custodians and exchanges to synchronize transactional data to prevent financial crimes.

PPATK

FINANCIAL INTELLIGENCE UNIT

10 Years

AUDIT LOG RETENTION

Jan 2025

OJK TRANSITION START

PPATK Synchronization & Audit Trails

- **Automated PPATK Reporting:** Exchanges and DFA Custodians must integrate with PPATK systems to automatically report Suspicious Transaction Reports (STRs) and transactions exceeding regulatory thresholds.
- **Biometric e-KYC:** Mandatory customer onboarding using electronic KYC (e- KYC) cross-referenced directly with the Indonesian national registry database (NIK).
- **10-Year Record Keeping:** All cryptographic signing logs, system audit trails, and customer verification documents must be securely stored locally in Indonesia for a minimum of 10 years to support regulatory audits.



Thailand: SEC Digital Asset Business Decree

Balanced Approach Merchant Adoption Emerging.

Thailand's SEC Digital Asset Business Decree creates a balanced regulatory environment with active pilot programs for merchant adoption.

Current Status:

- SEC license required for digital asset businesses
- B2B and B2C pilot stage
- TouristDigiPay sandbox launched (18-month pilot)
- Allows foreign tourists to convert stablecoins to THB via QR codes
- Merchants receive funds in THB, eliminating volatility risk

Key Requirements:

- SEC license required
- Cybersecurity framework required
- AML/KYC compliance
- Transaction monitoring
- No specific cold storage ratio mandated
- Principles-based custody controls

Market Opportunity:

- High-end hotels accepting USDT and USDC directly Informal
- OTC merchants facilitating stablecoin usage USDT remains
- one of most actively traded pairs on Bitkub Tourism and
- services sector driving B2C adoption

Thailand Custody Checklist:

01	02	03
Obtain SEC license before launch	Implement cybersecurity framework	Deploy AML/KYC systems
04	05	06
Set up transaction monitoring	Engage with merchant partners early	Plan for Travel Rule implementation

Thailand: AMLO Compliance & Monitoring

The Anti-Money Laundering Office (AMLO)enforces strict compliance guidelines on all digital asset business operators licensed by the SEC.

AMLO

SUPERVISORY AUTHORITY

STR

SUSPICIOUS TRANSACTION REPORTS

18-Month

SANDBOX PILOT DURATION

Transaction Monitoring & AMLO Reporting

- **AMLO Registration:** All SEC-licensed operators must register with AMLO as reporting entities, subjecting their operations to direct AML audits.
- **Transaction Monitoring Systems (TMS):** Deploy automated transaction monitoring systems to detect suspicious patterns (such as structured transactions or high-velocity asset movement) and file STRs in a timely manner.
- **Travel Rule Readiness:** Integrate compliant technology protocols to share origin and destination KYC data across exchanges in accordance with FATF recommendations.



Vietnam & Philippines: Data Residency & Moratoriums

Despite distinct licensing path ways, both Vietnam and the Philippines enforce stringent AML compliance, local key management, and transaction reporting.

PHILIPPINES: MORATORIUM

BSP extended its moratorium on new VASP license applications and has maintained it **indefinitely** since September 2025. The door to new market entry remains closed.

- No new VASP applications accepted
- Existing operators governed by Circular 1108 and Circular 1213
- No cold storage ratio specified, but cybersecurity framework required
- Effective segregation mechanism required for customer assets
- Key management personnel must reside in the Philippines

VIETNAM: CASP PILOT (JAN 2026)

DTI Law 2025 effective January 1, 2026. Under this law, the CASP Pilot program officially launched in January 2026, setting the baseline parameters:

- **Min. Capital:** VND 10,000 billion (~\$400M)
- **Institutional Ownership:** 65%+
- **Foreign Ownership Cap:** 49%
- **Security Standards:** Level 4 Information System Security
- **Data Residency:** Mandatory storage of user logs & addresses onshore

⚠️ The Data Residency Trap

Key material and signing logs on vendor cloud infrastructure outside Vietnam cannot be locally verified during regulatory inspection. The migration required to fix this after go-live is expensive. Build for data residency from Day 1.

Solution: Learn [How to Build a Stablecoin Payment Gateway with Fystack Programmable Wallet Infrastructure to secure 100% onshore data compliance.](#)

Vietnam: Data Residency & Level 4 Security

Data Residency Requirements (Decree 53/2022):

- User data must be stored within Vietnam Transaction history and device identification data must be local
- Wallet addresses and balances linked to users must be stored in-country
- Regulators must be able to physically inspect infrastructure
- Cannot rely on offshore SaaS custody models

Level 4 Information System Security:

- Second-highest tier under Vietnam's cybersecurity framework
- Applies to systems whose failure would cause serious harm to national security or critical economic interests
- Zero downtime requirement: system must run 24/7 without interruption
- No single point of failure: requires hot-hot redundancy
- Physical inspection by regulators required

Why Traditional Models Fail:

- Cloud HSMs in overseas data centers cannot be inspected locally
- Cold storage depends on manual offline access, difficult for continuous operations
- On-chain multisig reveals internal signing structures and incurs network fees
- SaaS MPC with offshore key processing violates data residency rules

Vietnam Custody Checklist:

01 Deploy infrastructure within Vietnam This ensures all physical and virtual assets are subject to local jurisdiction and inspection.	02 Implement Level 4 security standards Adopt stringent cyber security measures to meet the highest regulatory tier.	03 Ensure zero-downtime architecture Design systems for continuous operation without interruption, as required for critical infrastructure.
04 Set up hot-hot redundancy Eliminate single points of failure with redundant systems operating simultaneously.	05 Prepare for physical regulatory inspection Ensure infrastructure is accessible and auditable by local authorities.	06 Maintain all data locally Strictly adhere to data residency for user data, transaction history, and wallet information.
07 Document compliance with Decree 53 Maintain thorough records demonstrating adherence to all data localization requirements.		

VN & PH: AML Laws & Reporting Thresholds

Despite distinct licensing path ways, both Vietnam and the Philippines enforce stringent AML compliance, local key management, and transaction reporting.

\$1,000

PH TRAVEL RULE THRESHOLD

400M VND

VN SBV REPORTING
THRESHOLD

Jan 2026

DTI LAW EFFECTIVE DATE

Philippines: BSP AML/KYC Regulations

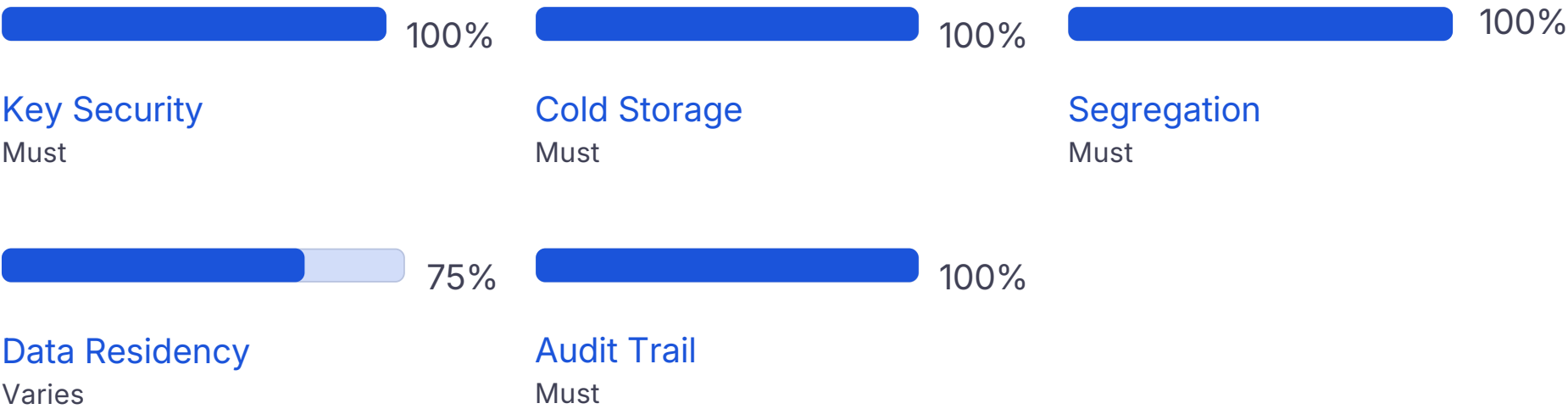
- **\$1,000 Travel Rule Threshold:** All virtual asset transfers of \$1,000 (USD/EUR) or more between entities must execute the Travel Rule, transmitting sender/recipient KYC information immediately.
- **Onshore Key Custody:** Key personnel managing cryptographic keys and signing logs must reside in the Philippines to facilitate direct regulatory inspections.

Vietnam: Anti-Money Laundering & SBV Mandates

- **400 Million VND Threshold:** Under Vietnam's AML Law (Decree 19/2023/ND-CP), transactions of 400 million VND or more (or those flagged as suspicious) must be reported automatically to the State Bank of Vietnam (SBV).
- **Decree 53 Compliance:** User records, transaction history, and wallet address linkages must be stored within Vietnam to ensure physical regulatory audit compliance.

Pre-Launch Scorecard

SEA Launch Readiness



Must Have

- Multi party authorization (2 of 3 MPC) no single point of failure 90% + cold storage (MAS); document ratio for all SEA markets
- Separate blockchain addresses: customer vs. operator assets
- Trust account or equivalent segregation structure
- Daily reconciliation (mandatory MAS; best practice all SEA)

Market Specific

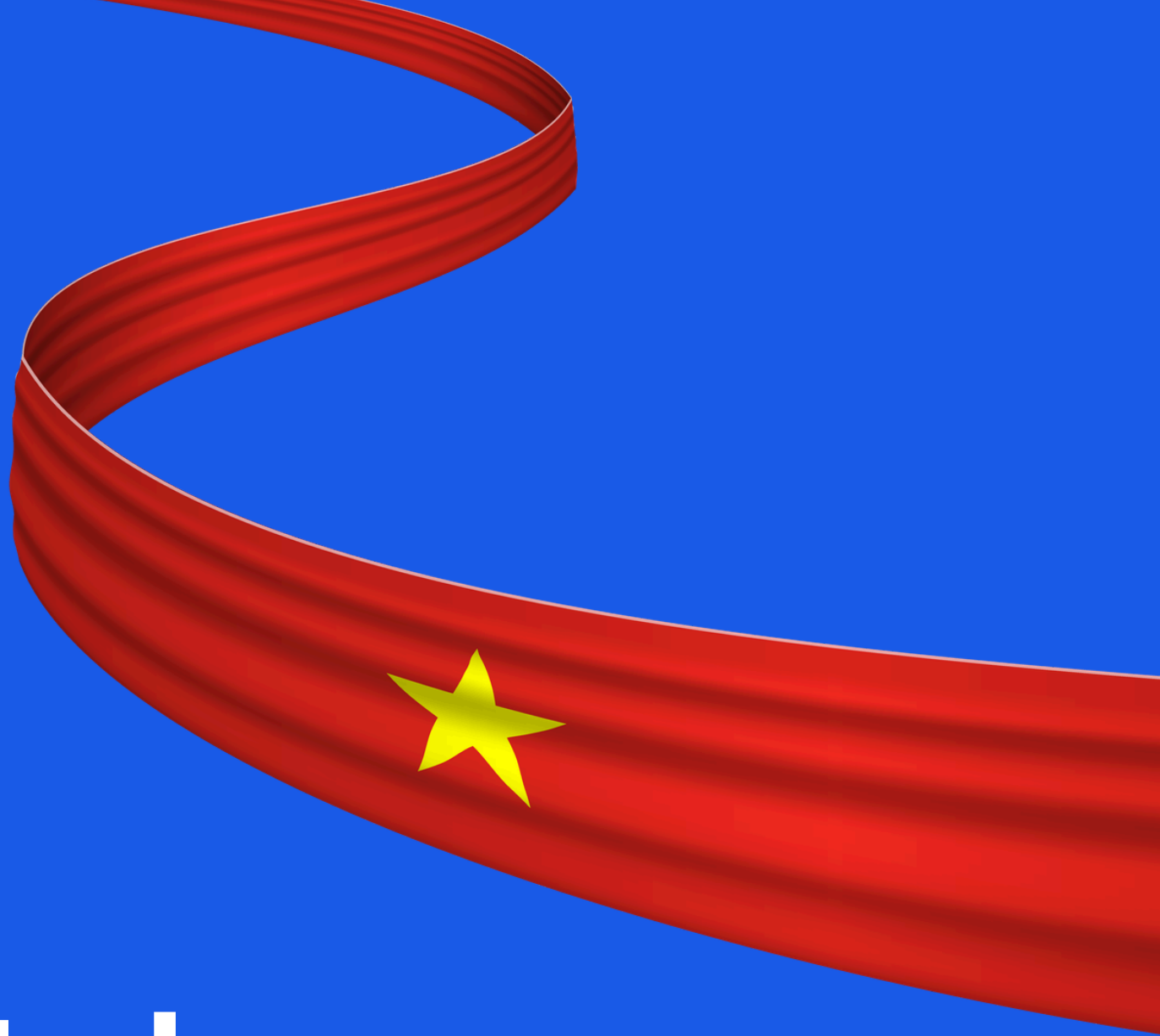
- Key material + signing logs stored within target jurisdiction
- Vietnam: data residency architecture confirmed before applying
- Indonesia: DFA Custodian license holder relationship confirmed
- Philippines: existing VASP license confirmed (moratorium active)

Should Have

- ISO/SOC2 certification or roadmap in place
- CISA + CISSP personnel (mandatory Indonesia OJK)

Nice to Have

- Independent auditor engaged pre application
- Travel Rule tooling integrated into payment flow



Your custody infrastructure partner in APAC

Fystack provides self-hosted custody infrastructure for enterprise teams. We enable financial institutions, CEXs, and OTC desks to deploy compliant, robust, and sovereign cryptographic custody systems fully localized onshore in Vietnam.

12+ Chains

MULTICHAIN INDEXING

< 1ms

ADDRESS LOOKUP SPEED

Flat Rate

FIXED PRICING MODEL

ENTERPRISE PARTNER

Why Choose Fystack in Vietnam

We solve the core operational and compliance challenges faced by local and international businesses expanding transaction volumes in Vietnam.

100%
ONSHORE DATA COMPLIANCE

Zero
SINGLE POINTS OF FAILURE

Open
SOURCE CUSTODY CORE

1. 100% Onshore Data Residency Compliance

- **Decree 53 & Level 4 Security:** Fystack is designed to run self-hosted on your private servers or domestic cloud facilities (such as Viettel IDC or FPT). All key shares, signing logs, and user metadata remain onshore, satisfying local laws.

2. Enterprise-Grade MPC Cryptography

- **Threshold Signature Schemes:** Eliminate single points of failure with multi-party signature protocols (2-of-3 or 3-of-5). Private keys are never assembled in a single location, rendering remote key extraction impossible.

3. Auditability & Compliance Tooling

- **Open-Source Transparency:** Built on our vetted open-source libraries ``mpcium`` and ``multichain-indexer`` for clear local IT audit reviews.
- **Webacy-Powered Screening:** Features a compliance address analysis dashboard integrating Webacy's risk API to automatically isolate illicit wallets.

Self-Hosted Control vs. SaaS Lock-In

A head-to-head comparison of self-hosted infrastructure ownership against standard vendor-managed cloud custody.

FEATURE / STANDARD	FYSTACK (SELF-HOSTED)	TRADITIONAL SAAS CUSTODY
Data Residency	100% Onshore Compliance	Offshore Cloud Storage (Violates Decree 53)
Cryptographic Control	Full Cryptography Ownership	Vendor Lock-In (Proprietary SaaS)
Pricing Structure	Flat Subscription Rate	Volume-based Fees (Charges rise with usage)
Local Auditing	Onshore Logs & Raw Database	API-Only Logs (No physical database access)

The Ultimate Decision: Sovereign Ownership

- Freedom of Cryptography:** Fystack ensures you retain the keys, the database, and the infrastructure. Your business is never exposed to service halts or sudden fee increases by overseas third-party SaaS vendors.

Custody infrastructure built for regulated markets?



Fystack provides self-hosted custody infrastructure — MPC key management deployed on your own servers, across 12+ chains. Built for fintechs, payment companies, and neobanks across APAC and emerging market

